

STATE OF NEW YORK

10737--A

IN ASSEMBLY

March 27, 2026

Introduced by M. of A. SHRESTHA -- read once and referred to the Committee on Ways and Means -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to authorizing an occupancy tax in the city of Kingston; and providing for the repeal of such provisions upon the expiration thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The tax law is amended by adding a new section 1202-11 to
2 read as follows:

3 § 1202-11. Occupancy tax in the city of Kingston. (1) Notwithstanding
4 any other provision of law to the contrary, the city of Kingston, in the
5 county of Ulster, is hereby authorized and empowered to adopt and amend
6 local laws imposing in such city a tax, in addition to any other tax
7 authorized and imposed pursuant to this article, such as the legislature
8 has or would have the power and authority to impose upon persons occupy-
9 ing any room for hire in any hotel. For the purposes of this section,
10 the term "hotel" shall mean a building or portion of such building which
11 is rentable or consisting of rentable units providing lodging on an
12 overnight basis for guests. The term "hotel" includes an apartment
13 hotel, a motel, and facilities designated and commonly known as a "bed
14 and breakfast" and similar "tourist" facilities, whether or not meals
15 are served. The rate of such tax shall not exceed three percent of the
16 per diem rental rate for each room whether such room is rented on a
17 daily or longer basis.

18 (2) Such taxes may be collected and administered by the chief fiscal
19 officer of the city of Kingston by such means and in such manner as
20 other taxes which are now collected and administered by such officer or
21 as otherwise may be provided by such local law.

22 (3) Such local laws may provide that any taxes imposed shall be paid
23 by the person liable therefor to the owner of the room for hire in the
24 tourist home, inn, club, hotel, motel, or other similar place of public
25 accommodation occupied or to the person entitled to be paid the rent or
26 charge the room for hire in the tourist home, inn, club, hotel, motel,

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD15325-05-6

1 or other similar place of public accommodation occupied for and on
2 account of the city of Kingston imposing the tax and that such owner or
3 person entitled to be paid the rent or charge shall be liable for the
4 collection and payment of the tax; and that such owner or person enti-
5 ttled to be paid the rent or charge shall have the same right in respect
6 to collecting the tax from the person occupying the room for hire in the
7 tourist home, inn, club, hotel, motel, or other similar place of public
8 accommodation, or in respect to nonpayment of the tax by the person
9 occupying the room for hire in the tourist home, inn, club, hotel,
10 motel, or similar place of public accommodation, as if the taxes were a
11 part of the rent or charge and payable at the same time as the rent or
12 charge; provided, however, that the chief fiscal officer of the city,
13 specified in such local laws, shall be joined as a party in any action
14 or proceeding brought to collect the tax by the owner or by the person
15 entitled to be paid the rent or charge.

16 (4) Such local laws may provide for the filing of returns and the
17 payment of the taxes on a monthly basis or on the basis of any longer or
18 shorter period of time.

19 (5) This section shall not authorize the imposition of such tax upon
20 any of the following:

21 a. The state of New York, or any public corporation (including a
22 public corporation created pursuant to agreement or compact with another
23 state or the dominion of Canada), improvement district or other poli-
24 tical subdivision of the state;

25 b. The United States of America, insofar as it is immune from taxa-
26 tion;

27 c. Any corporation or association, or trust, or community chest, fund
28 or foundation organized and operated exclusively for religious, charita-
29 ble or educational purposes, or for the prevention of cruelty to chil-
30 dren or animals, and no part of the net earnings of which inures to the
31 benefit of any private shareholder or individual and no substantial part
32 of the activities of which is carrying on propaganda, or otherwise
33 attempting to influence legislation; provided, however, that nothing in
34 this paragraph shall include an organization operated for the primary
35 purpose of carrying on a trade or business for profit, whether or not
36 all of its profits are payable to one or more organizations described in
37 this paragraph; or

38 d. A permanent resident of a hotel or motel. For the purposes of this
39 section, the term "permanent resident" shall mean a natural person occu-
40 pying any room or rooms in a hotel or motel for at least ninety consec-
41 utive days.

42 (6) Any final determination of the amount of any tax payable hereunder
43 shall be reviewable for error, illegality or unconstitutionality or any
44 other reason whatsoever by a proceeding under article seventy-eight of
45 the civil practice law and rules if application therefor is made to the
46 supreme court within thirty days after the giving of notice of such
47 final determination, provided, however, that any such proceeding under
48 article seventy-eight of the civil practice law and rules shall not be
49 instituted unless:

50 a. The amount of any tax sought to be reviewed, with such interest and
51 penalties thereon as may be provided for by local laws or regulations
52 shall be first deposited and there shall be filed an undertaking, issued
53 by a surety company authorized to transact business in this state and
54 approved by the superintendent of financial services of this state as to
55 solvency and responsibility, in such amount as a justice of the supreme
56 court shall approve to the effect that if such proceeding be dismissed

1 or the tax confirmed the petitioner will pay all costs and charges which
2 may accrue in the prosecution of such proceeding; or

3 b. At the option of the petitioner, such undertaking may be in a sum
4 sufficient to cover the taxes, interests and penalties stated in such
5 determination plus the costs and charges which may accrue against it in
6 the prosecution of the proceeding, in which event the petitioner shall
7 not be required to pay such taxes, interest or penalties as a condition
8 precedent to the application.

9 (7) Where any taxes imposed hereunder shall have been erroneously,
10 illegally or unconstitutionally collected and application for the refund
11 therefor duly made to the proper fiscal officer or officers, and such
12 officer or officers shall have made a determination denying such refund,
13 such determination shall be reviewable by a proceeding under article
14 seventy-eight of the civil practice law and rules, provided, however,
15 that such proceeding is instituted within thirty days after the giving
16 of the notice of such denial, that a final determination of tax due was
17 not previously made, and that an undertaking is filed with the proper
18 fiscal officer or officers in such amount and with such sureties as a
19 justice of the supreme court shall approve to the effect that if such
20 proceeding be dismissed or the taxes confirmed, the petitioner will pay
21 all costs and charges which may accrue in the prosecution of such
22 proceeding.

23 (8) Except in the case of a willfully false or fraudulent return with
24 intent to evade the tax, no assessment of additional tax shall be made
25 after the expiration of more than three years from the date of the
26 filing of a return, provided, however, that where no return has been
27 filed as provided by law the tax may be assessed at any time.

28 (9) All revenues resulting from the imposition of the tax under the
29 local laws shall be paid into the treasury of the city of Kingston and
30 shall be credited to and deposited in the general fund of the city. Such
31 revenues may be used to support municipal services, infrastructure and
32 other essential expenditures as determined by the common council of the
33 city of Kingston.

34 (10) Each enactment of such a local law may provide for the imposition
35 of a hotel or motel tax for a period of time no longer than two years
36 from the date of its enactment. Nothing in this section shall prohibit
37 the adoption and enactment of local laws, pursuant to the provisions of
38 this section, upon the expiration of any other local law adopted pursu-
39 ant to this section.

40 (11) If any provision of this section or the application thereof to
41 any person or circumstance shall be held invalid, the remainder of this
42 section and the application of such provision to other persons or
43 circumstances shall not be affected thereby.

44 § 2. This act shall take effect immediately and shall expire December
45 31, 2029 when upon such date the provisions of this act shall be deemed
46 repealed.